Psychological Reports, 2005, 97, 527-537. © Psychological Reports 2005

AN EXPLORATORY STUDY OF ETHICAL VALUES IN NONPROFIT FUNDRAISING: SURVEY OF FUNDRAISING EXECUTIVES[1]

BEVERLY T. VENABLE AND JUDY WAGNER

Columbus State University *East Carolina University*

Summary.—An initial study used the Ethical Position Quotient in an extension of this measure from for-profit organizations to nonprofit organizations. Responses from professional fundraising executives for nonprofit organizations were generally more idealistic than relativistic regarding ethical decision-making. Additionally, in a comparison of the executives' answers to those of M.B.A. students, the students were significantly more relativistic and less idealistic than the nonprofit executives. On Forsyth's Taxonomy of Ethical Perspectives, approximately 20% of the students were absolutists versus 66% of the fundraising executives. Conversely, 70% of the M.B.A. students were situationists compared to only a third of the executives. This disparity in responses between these groups provides a rich and interesting platform for research.

As reported in the most recent Nonprofit Almanac (Weitman, Jalandoni, Lampkin, & Pollak, 2002), the relationships among nonprofit organizations have become highly competitive and complex with respect to the acquisition of funds and volunteers to support their causes. Over the years, the number of charities has multiplied greatly, and a few have grown to dominate the sector (Sargeant & Lee, 2002). While there has been an overall increase in funds from private sources, large government subsidies have declined (Bendapudi, Singh, & Bendapudi, 1996). Given these changes, the competitiveness has escalated; the 1.2 million charities today vie for constrained resources.

In this competitive environment, charities have begun to employ proactive marketing strategies once reserved for commercial enterprises, e.g., merchandising, sales promotions, and web-based-solutions. However, this is a significant change for nonprofit organizations. A series of in-depth interviews with executives from a variety of nonprofit organizations supported this premise. Further, these individuals also raised the issues of the importance of and their challenge to maintain high ethical standards and a sense of their organizations' true reason for existence (Venable, 2002).

Adding to these challenges for nonprofit organizations is a new generation of donors who increasingly perceive the sector as a "big business" (241 billion dollars in monetary contributions in 2003) according to the American

[1]Address correspondence to Beverly T. Venable, D. Abbott Turner College of Business, Columbus State University, 4225 University Ave., Columbus, GA 31907 or e-mail (geraldvenable@aol.com).

Association of Fundraising Counsel (Giving U.S.A. 2003) and the equivalent of 9,000 full-time employees in volunteer hours. Thus, donors contend that nonprofit organizations should be held to high ethical standards and a maintained focus on those that they serve (Morely, Vinson, & Hatry, 2001; Blum, 2002). Unfortunately, a number of recent scandals among very large nonprofit organizations, e.g., embezzlement of a large sum of money by a high ranking official at the American Cancer Society (Gallagher & Radcliffe, 2002), fraudulent accounting practices at the United Way of DC (Markon & Salmon, 2004), and the improper sale of land by the Nature Conservancy (Stephens & Ottaway, 2003) have created substantial public concern regarding the ethical values of those who run such organizations and their acceptance of the need to act in a socially responsible manner.

Surprisingly, little research has examined how fundraising executives view their role in light of the increased competition for funding, the call for greater accountability, and the occasional highly publicized instance of an apparent break with the public trust. While there is a considerable body of work addressing issues of ethics (Weaver & Ferrell, 1977; Forsyth, 1980; Ferrell & Gresham, 1985; Hunt & Vitell, 1986; Trevino, 1986; Vitell & Ho, 1997; Paolillo & Vitell, 2002) there is little research assessing the adherences to principles of ethics among nonprofit organizations and their executives.

Given the importance of their work and the public trust and fiduciary responsibility placed in this multibillion dollar sector of the U.S. economy, 241 billion dollars in 2003 or 2.2% of the GDP (American Association of Fundraising Council, 2004), it seems that nonprofit organizations and their various stakeholders might benefit greatly from a better understanding of the ethical norms being applied. The purpose of this study was to begin to address this important gap in the literature concerning ethical decision-making in nonprofit organizations. A review of prior research on marketing ethics and perspectives regarding ethical decision-making precedes hypotheses regarding perceptions related to these topics in nonprofit organizations and is followed by a discussion of a preliminary investigation extending the study of these constructs into the domain of nonprofit organizations.

Marketing Ethics

As early as 1977, Weaver and Ferrell suggested that a code of ethics or corporate policies on ethics was needed for there to be consensus in organizations about acceptable ethical behavior. According to their work, these established codes are necessary to change individual beliefs about what constitutes ethical behavior. Weaver and Ferrell (1977) also suggested that individuals' beliefs and actions will tend to be more ethical when standards exist for individuals to follow. Organizations also need to have enforcement procedures in place that outline consequences for not abiding by the code.

Without enforcement, changes cannot be expected to occur in an individual's behavior (Weaver & Ferrell, 1977).

In the 1980s, ethics became a major research theme within business and specifically the marketing discipline. A significant contribution to this was the work of Hunt and Vitell (1986) who were one of the first to develop an ethics model organized around the teleological and deontological frameworks. From a practitioner's standpoint, at this time many companies formulated and adopted a corporate code of ethics. For the purposes of this research, ethics is defined as "a system or code of conduct based on universal moral duties and obligations which indicate how one should behave. It deals with the ability to distinguish good from evil, right from wrong and propriety from impropriety" (Josephson, 1991).

Research in the area of marketing ethics has continued, primarily in the for-profit sector (Singhapakdi, Kraft, Vitell, & Rallapalli, 1995; Zadek, 1998). One exception is Schaefer and Zaller's examination of ethics in the nonprofit sector (1999) which suggests that, similar to for-profit organizations, nonprofit organizations must also be monitored with regard to their ethical values.

Ethical Judgments

Marketers in for-profit organizations routinely weigh a number of elements before developing what they consider to be appropriate strategy. In decision-making ethical content, marketers have to consider factors of culture, industry, the organization and personal experiences (Hunt & Vitell, 1986; Ferrell, Gresham, & Fraedrich, 1989). Today, fundraising executives for nonprofit organizations are likely to consider similar factors when devising a strategy for satisfying the financial requirements of the organization and also uphold its mission of ethical behavior and social responsibility. Alternative fund-raising strategies may well be assessed relative to the probability and desirability of each of their potential consequences. Some strategies, while attractive because of their funding potential, could lead to unethical and socially irresponsible behavior and a disruption of the mission to enhance human welfare in some manner. Researchers have not yet investigated how this delicate balance of ethics and funding needs is maintained in nonprofit organizations.

Two components of moral philosophy, idealism and relativism, may shed some light on how ethical decision-making is conducted in the nonprofit domain. Forsyth (1980) defined idealism as how well individuals adhere to moral absolutes when making ethical judgments. That is to say, Idealists "assume that desirable consequences can, with the 'right' action, always be obtained" (Forsyth, 1980, p. 176). Relativists, on the other hand, "generally feel that the morality of their actions depends upon the nature of the

situation and the individuals involved, and when judging others, they weigh the circumstances more than the ethical principle that was violated" (Forsyth, 1992, p. 462).

Forsyth (1980) developed the Ethics Position Questionnaire, which has two scales, one to assess idealism and the second relativism. In describing the development, Forsyth provides psychometric evidence suggesting that idealism and relativism are orthogonal constructs rather than opposite ends of the same continuum. Thus, an individual's personal ethical ideology might be expressed with reference to both idealism and relativism. To refine understanding of ethical judgments further, Forsyth (1980) dichotomized and crossed these two dimensions, yielding a 2×2 classification system. The resulting Taxonomy of Ethical Perspectives suggests that a person may adhere to any one of four perspectives: absolutism, situationism, subjectivism, and exceptionism. Each of the four perspectives possesses characteristics similar, but not identical, to various schools of thought relating to ethics.

According to Forsyth (1980), absolutists (high idealism-low relativism) tend to adopt a deontological approach to ethics, adhering to moral absolutes and espousing that no positive consequences can justify unethical means used to obtain them. In other words, "certain features of the act itself other than the value it brings into existence" make an action or rule right (Frankena, 1963, p. 14). On the other hand, situationists (high idealism-high relativism) adopt a more skeptical and pragmatic approach to ethics. These individuals hold that, while actions should be rooted in a love for others, the specific context of an ethical decision must be examined before a situation can be judged as moral or immoral. This perspective is akin to Fletcher's situation ethics (1966). The ethical position held by exceptionists (low idealism-low relativism) is similar to a teleological approach to ethics. For these individuals, the focus is on the consequences of an action. A situation may be judged as moral if it would create the greatest good for the greatest number of people. Finally, subjectivists (low idealism-high relativism) might be described as ethical egoists. For this group, universal moral absolutes hold no relevance. Instead, ethical judgments are solely a matter of one's own personal value system.

Hypotheses

Singhapakdi, *et al.* (1995), in a survey of members of the American Marketing Association, reported that idealism related positively, while relativism related negatively, to perceptions of the importance of ethics and responsibility in achieving organizational effectiveness. This finding in for-profit organizations may have relevance for nonprofit organizations, as well. Given the significance of ethics to the mission of nonprofit organizations and the likely import given ethics by individuals who self-select employment in this do-

main, fundraisers for nonprofit organizations are likely to be more idealistic than relativistic regarding ethical decision-making. In other words, these individuals would express the belief that universal moral principles, rather than individual circumstances or consequences, should be given greater weight in ethical judgments.

Thus, we hypothesize that (H_1) the ethical position of fundraising executives of nonprofit organizations is more idealistic than relativistic.

While it can be expected that fundraising executives for nonprofit organizations are likely to be more idealistic than relativistic in their thinking, a second question arises as to how the ethical perspectives of these individuals might be categorized when both idealism and relativism are considered together according to Forsyth's taxonomy (1980). Citing the same argument of the centrality of moral purpose to the goals of nonprofit organizations and the type of individual drawn to this type of entity, the greatest proportion of these fundraising executives might be characterized as absolutists, or high in idealism but low in relativism. However, perhaps due to the increased competition for funds, the complexity of interactions in today's business environment, or the felt need to broaden the types of factors considered in decision-making, it also seems likely that the situationist's perspective (high idealism-high relativism) would be fairly well represented, but by fewer than that of the absolutist. On the other hand, representation of Forsyth's ethical perspectives categorized by low idealism, i.e., subjectivists and exceptionists, might be expected to be quite low for this group.

(H_2) Fundraising executives of nonprofit organizations can be categorized proportionately from greatest to fewest as absolutists, situationist, and subjectivsts/exceptionists, respectively.

Method

Drawing from a previously validated scale, the Ethics Position Quotient (Forsyth, 1980) was designed to measure nonprofit executives' ethical positions regarding idealism and relativism. The survey was administered by one author during regularly scheduled monthly meetings of three chapters of the Association of Fundraising Professionals. In addition, a follow-up survey was mailed to those not present to increase the sample and to address potential nonresponse bias.

Sample

In total, 180 surveys were distributed. The number of returned and usable responses was 65, an effective response rate of 36%. A profile of the participants in this study is provided in Table 1. The respondents were members of three geographically dispersed chapters and represented southeastern cities ranging in size from 150,000 to 650,000. The source was selected for sampling primarily because its membership represents a popula-

TABLE 1
PROFILE OF RESPONDENTS ($N = 65$)

Characteristic	f	%*
Sex		
Women	38	58.5
Men	26	40.6
Age, yr.		
<29–39	11	16.9
40–49	31	47.7
50–59	17	26.2
>60	6	9.2
Education		
Some College	5	7.7
Bachelor's Degree	23	35.4
Graduate Degree	31	47.7
Professional	6	9.2
Experience, yr.		
One to Five	15	23.1
Six to Ten	10	15.4
Eleven to Fifteen	20	30.8
Sixteen to Twenty	8	12.3
>Twenty	12	18.5
Number of Employees		
<100	34	52.3
100–499	10	15.4
500–999	6	9.2
>1000	11	16.9

*Percentages calculated based on the total responses in each characteristic and therefore may not total to 100.

tion of fundraising executives for nonprofit organizations of diverse size and objectives. Most were healthcare, education, and public and private foundations. Large national charities such as the March of Dimes, American Cancer Society, and United Way were also represented. Forty-one percent of the respondents were men and 59% were women. Ages ranged from under 29 to over 60 years of age. Approximately 17% were younger than 39. Forty-seven and seven-tenths percent were in the 40 to 49 age range, 26.2% in the 50 to 59 range, and 9.2% over 60 years of age. Respondents' fundraising experience ranged from between 1 to over 20 yr., 23.1% 1 to 5 yr., 46.2% 6 to 15 yr., and 18.5% over 20 yr. They worked in organizations of various sizes, i.e., 52.3% fewer than 100 employees, 15.4% 100 to 500 employees, and 26.1% more than 500 employees ($N = 65$). While the sample was small, demographic representation among respondents was diverse.

Measures

The Ethics Position Quotient (Forsyth, 1980) is a 20-item scale with 10

items each to measure an individual's position on ethical values with regard to idealism and relativism. Idealism is defined as an individual's adherence to moral absolutes when making ethical judgments. Fundraising executives who aligned themselves with a more idealistic ethical position, believing in ethical absolutes, would be likely to strongly agree with items such as "A person should make certain that their actions never intentionally harm another even to a small degree." Relativism refers to the belief that moral actions depend upon the situation and individuals involved. Participants with a more relativistic ethical position would be likely to agree with items such as "What is ethical varies from one situation and society to another." The scale items were a Likert-type (anchors of 1: strongly disagree and 7: strongly agree). The questionnaire, first developed in psychology, has been adapted for use in the study of ethics among for-profit organizations (Singhapakdi, *et al.*, 1995). Further change was unnecessary for use in the nonprofit sector.

Assessment of Face Validity

Prior to the actual administration of the survey, the scale was reviewed by several marketing professors as well as nonprofit practitioners to check face validity. These reviewers were also asked to provide feedback regarding what they thought the scale was to measure. This is consistent with Nunnally (1978) who defined face validity as the extent to which the scale items appear to measure the constructs of interest. These reviewers correctly identified the scale as measuring ethical values (norms) in nonprofit organizations.

Results

Assessment of Reliability

Reliability of the scales was assessed using the coefficient alpha. That for ethical values related to Idealism had the highest reliability (.85). For relativism, coefficient alpha was .81. Each exceeds the generally accepted level of .70 for exploratory research (Hair, Anderson, Tatham, & Black, 1998, p. 117). Scores on the idealism and relativism scales were correlated –.02. This analysis did not indicate the presence of multicollinearity among the measures, indicating that the scales were measuring the different constructs as intended. It appears this measure has adequate reliability when applied in the nonprofit context.

Tests of Hypotheses

H_1 predicted the ethical position of fundraising executives of nonprofit organizations would be more idealistic than relativistic. A paired-sample t test provided support as expressed belief in the ethical position of idealism ($M = 5.6$) was significantly stronger than for relativism ($M = 3.2$; $t_{64} = 13.37$, $p < .001$).

H_2 predicted the ethical perspectives of fundraising executives for nonprofit organizations can be categorized proportionately from greatest to fewest as absolutist, situationists, and subjectivists/exceptionists, respectively. The mid-point of the 7-point scale (3.5) was used as a cut-off to create low (<3.5) and high groups (≥ 3.5) for the mean summed responses for both the idealism and relativism items. No group had a mean score of exactly 3.5. Results support H_2. Among these fundraising executives, there were significantly more individuals whose responses categorize them as absolutists than situationists ($\chi_1^2=7.56$, $p<.01$). Only one respondent was categorized as an exceptionist, and none adhered to a subjectivist perspective. Table 2 summarizes these findings.

TABLE 2
ETHICAL PERSPECTIVES OF FUNDRAISING EXECUTIVES OF NONPROFIT ORGANIZATIONS

Ethical Perspective	*f*	%*
Absolutist	43	66.2
Situationist	21	32.3
Subjectivist	0	0.0
Exceptionist	1	1.5

Given the scarcity of research on ethical judgments of fundraising executives and the need to gain a point of reference for present results, we conducted an additional study administering the Ethics Position Quotient to a sample of M.B.A. students attending two southern universities. Graduate business students made a useful comparison group because they are likely to be either currently facing ethical decisions in the workplace or, at minimum, are likely to have been asked to consider ethical business situations as part of their graduate work. Of the sample 48% were men and 51.5% were women. As might be expected this sample were younger and had less work experience than the group of fundraising executives. Approximately 68% of the graduate students were below 30 years of age, 23.5% were between 30 and 39 years, and about 9% were over 40 years of age. Between 1 and 5 years of experience were reported by 31%, approximately 12% between 6 and 10 years, 10.4% between 11 and 15 years, and only one individual more than 15 years of experience. Of this sample about 45% reported work experience between 0 and 1 year.

Comparisons of questionnaire responses for nonprofit fundraising executives and graduate business students showed significant differences for the two groups. Overall, the fundraising executives for nonprofit organizations ($M=5.6$) were significantly higher in idealism than the graduate students ($M=4.9$; $t_{128}=3.91$, $p<.001$). Responses of the M.B.A. students ($M=4.13$) were significantly higher in relativism than those of the nonprofit group

($M = 3.2$; $t_{128} = 5.13$, $p < .001$). Use of Forsyth's Taxonomy of Ethical Perspectives (1980) to categorize the responses of the graduate students yielded the distribution shown in Table 3. The proportion of Forsyth's four groups differed for the graduate students and fundraising executives. While the highest proportion of the executives were categorized as absolutists, there is a significantly lower proportion of absolutists in the M.B.A. sample ($\chi_1^2 = 16.07$, $p < .01$). However, significantly more graduate students than fundraising executives displayed responses representative of a situationist perspective ($\chi_1^2 = 17.66$, $p < .01$). One individual in each group was categorized as an exceptionist; about 8% of the graduate students were subjectivists. The subjectivist perspective was not represented among fundraising executives.

TABLE 3
ETHICAL PERSPECTIVES OF 68 MBA STUDENTS

Ethical Perspective	*f*	%
Absolutist	13	20.3
Situationist	45	70.3
Subjectivist	5	7.8
Exceptionist	1	1.6

DISCUSSION

The purpose of this exploratory study was to begin to extend research on ethical positions of persons charged with raising funds for nonprofit organizations. Findings suggest the extension of measures of ethical perspectives used in the context of for-profit organizations are also appropriate for nonprofit organizations. With more research these measures can be further refined and others developed. One interesting direction for researchers would be to examine the role that ethics play in the overall success of nonprofit organizations, i.e., whether a strong ethical position (even if it might bring more expense to the organization) is related to greater success in fundraising and fulfilling their mission. Developing a clearer understanding of these relationships and how they influence organizational effectiveness in fulfilling stated missions takes on an important role for academic persons who wish to achieve a greater understanding of the nonprofit sector and for practitioners interested in attracting and retaining contributors.

The comparison of the M.B.A. students' perspective with that of the fundraising executives indicated significant differences in ethical perspectives between the two groups. While beyond the scope of this exploratory study, this disparity provides a rich and interesting platform for research. Additional work may result in a better understanding of the differences in the role of ethics for the for-profit and nonprofit sectors in general, and especially among younger individuals.

To put the present findings in perspective, it is necessary to note the limitations of this work. First, the membership of three chapters of the Association of Fundraising Professionals were of limited geographic dispersion. Although the examined sampling seems fairly diverse and appropriate for this study, it is acknowledged to be a subset of a much larger population. Second, it is also important to note that these findings are based on respondents' self-ratings of their own ethical perspectives. This study did not attempt the difficult task of measuring ethical behavior. Acknowledging the complexities of actual business situations and the weight of personal and organizational pressure, this study cannot suggest that ethical perspectives, as measured here, would directly translate into corresponding actions. Researchers must address how ethical perspectives may relate to predictions of ethical behavior for fundraising activities in nonprofit organizations.

REFERENCES

BENDAPUDI, N., SINGH, S. N., & BENDAPUDI, V. (1996) Enhancing helping behavior: an integrative framework for promotion planning. *Journal of Marketing*, 60(July), 33-49.

BLUM, D. E. (2002) Ties that bind. *The Chronicle of Philanthropy*, 14(11), 7-10.

FERRELL, O. C., & GRESHAM, L. G. (1985) A contingency framework for understanding ethical decision making marketing. *Journal of Marketing*, 49(Summer), 87-96.

FERRELL, O. C., GRESHAM, L. G., & FRAEDRICH, J. (1989) A synthesis of ethical decision models for marketing. *Journal of Macromarketing*, Fall, 55-64.

FLETCHER, J. (1966) *Situation ethics*. Philadelphia, PA: Westminster.

FORSYTH, D. R. (1980) A taxonomy of ethical ideologies. *Journal of Personality and Social Psychology*, 39, 175-184.

FORSYTH, D. R. (1992) Judging the morality of business practices: the influences of personal moral philosophies. *Journal of Business Ethics*, 11, 461-470.

FRANKENA, W. (1963) *Ethics*. Englewood Cliffs, NJ: Prentice-Hall.

GALLAGHER, M., & RADCLIFFE, V. S. (2002) Internal controls in nonprofit organizations: the case of the American Cancer Society [Ohio Division]. *Nonprofit Management and Leadership*, 12, 313-325.

HAIR, J. E., ANDERSON, R. E., TATHAM, R. L., & BLACK, W. C. (1998) *Multivariate data analysis*. (5th ed.) Upper Saddle River, NJ: Prentice Hall.

HUNT, S. D., & VITELL, S. J. (1986) A general theory of marketing ethics. *Journal of Macromarketing*, 8, 5-16.

JOSEPHSON, M. (1991) *Ethics in grantmaking and grantseeking*. Marino del Ray, CA: Josephson Institute of Ethics.

MARKON, J., & SALMON, J. L. (2004) Ex-United Way official rejects court deal. *The Washington Post*, Thursday(March 4), BO5.

MORELY, E., VINSON, E., & HATRY, H. P. (2001) Outcome measurement in nonprofit organizations: current practices and recommendations. Washington, DC: Independent Sector. Pp. 5-10. (Available 1200 Eighteenth Street NW, Suite 200, Washington, DC 20036)

NUNNALLY, J. C. (1978) *Psychometric theory*. New York: McGraw-Hill.

PAOLILLO, J. C. P., & VITELL, S. J. (2002) An empirical investigation of the influence of selected personal, organizational and moral intensity factors on ethical decision making. *Journal of Business Ethics*, 35, 65-74.

SARGEANT, A., & LEE, S. (2002) Improving public trust in the voluntary sector: an empirical analysis. *International Journal of Nonprofit and Voluntary Sector Marketing*, 71, 68-83.

SCHAEFER, A. G., & ZALLER, A. J. (1999) Why ethics tools don't work. *Nonprofit World*, 17(2), 42-44.

SINGHAPAKDI, A., KRAFT, K. L., VITELL, S. J., & RALLAPALLI, K. C. (1995) The perceived impor-

tance of ethics and social responsibility on organizational effectiveness: a survey of marketers. *Journal of the Academy of Marketing Science*, 23, 49-56.

STEPHENS, J., & OTTAWAY, D. (2003) Nature Conservancy suspends land sales. *Washington Post*, May 13, A-13.

TREVINO, L. K. (1986) Ethical decision making in organizations: a person-situation inter-actionist model. *Academy of Management Review*, 11, 601-617.

VENABLE, B. T. (2002) Extending brand personality to the nonprofit sector: an investigation of the potential impact of brand personality on an individual's likelihood to contribute to nonprofit organizations. Unpublished dissertation, Univer. of Mississippi. (©TX 5-540-632)

VITELL, S. J., & HO, F-N. (1997) Ethical decision making in marketing: a synthesis and evaluation of scales measuring the various components of decision making in ethical situations. *Journal of Business Ethics*, 16, 699-717.

WEAVER, K. M., & FERRELL, O. C. (1977) The impact of corporate policy on reported ethical beliefs and behavior of marketing practitioners. In B. A. Greenberg & D. A. Bellenger (Eds.), *Contemporary marketing thought*. Chicago, IL: American Marketing Association. Pp. 477-481.

WEITMAN, M. S., JALANDONI, N. T., LAMPKIN, L. M., & POLLAK, T. H. (2002) Trends in giving. The *Nonprofit Almanac*. Washington, DC: Independent Sector. Pp. 53-89. (Available 1200 Eighteenth Street NW, Suite 200, Washington, DC 20036)

ZADEK, S. (1998) Balancing performance, ethics, and accountability. *Journal of Business Ethics*, 17, 1421-1441.

Accepted August 19, 2005.